higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

FINANCIAL MANAGEMENT
NQF LEVEL 2

(3011012)

15 March 2019 (X-Paper)
09:00–12:00

This question paper consists of 13 pages and 2 answer sheets.

NCV

Copyright reserved

TIME: 3 HOURS
MARKS: 150

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.
5. **Where applicable, use VAT at 15%.**

NCV

SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.15).

1.1.1 … is the result of the sales less the cost of sales.

A Net profit
B Operating expenses
C Gross income
D Gross profit

1.1.2 One of the sections of the cash flow statement is cash flow from … activities.

A proceeds
B income
C operating
D banking

1.1.3 A … is a cheque that is payable on a future date.

A stale cheque
B post-dated cheque
C crossed cheque
D payee's endorsement

1.1.4 The type of bank account from which the account-holder can make cheque payments.

A Savings account
B Investment account
C Current account
D Home-loan account

1.1.5 The fees charged by banks for handling clients' bank accounts:

A Payment charges
B Holding charges
C Interest
D Bank charges

NCM

1.1.6 The financial statement indicating the financial position of a business:

A General ledger
B Trial balance
C Balance sheet
D Cash book

1.1.7 Calculate the VAT on an item costing R7 560, inclusive of VAT @ 15%.

A R1 134.00
B R6 573,91
C R 986,09
D R6 424.00

1.1.8 AB Traders uses a mark-up of 10% on the cost price. Calculate the mark-up on an item that costs R265,00.

A R 26,50
B R291,50
C R238,50
D R 39.75

1.1.9 A 5% discount is allowed on an item with a selling price of R3 599.00. Calculate the price that a customer will pay after the discount has been allowed.

A R 179,95
B R3 419,05
C R3 778,95
D R1 799,50

1.1.10 Refer to QUESTION 1.1.9 above. The discount allowed is …

A R 179,95
B R3 419,05
C R3 778,95
D R1 799,50

1.1.11 Which ONE of the following is an example of current assets?

A Desks and chairs
B Delivery scooter
C Wages
D Cash

NCV

1.1.12 Dwayne Traders bought goods for R650 including VAT. The goods are regarded as VAT …

A exempt
B exclusive
C inclusive
D zero-rated

1.1.13 The following is a disadvantage of using electronic equipment in a business:

A Expensive
B Easy to operate
C Conveniently small
D Enable users to do quick and accurate calculations

1.1.14 A business issues a … as proof that payment was received.

A cheque
B deposit slip
C cheque counterfoil
D receipt

1.1.15 … is the money that is used for the day-to-day trading operations in a business.

A Human capital
B Working capital
C Financial capital
D Start-up capital

(15 × 1) (15)

NCV

1.2 Choose a word from COLUMN B that matches a description in COLUMN A. Write only the letter (A–M) next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.2.1	Contains the objectives and financial strategies of a business	A	dividends
1.2.2	Gross income less operating expenses	B	insurance
1.2.3	Payment to shareholders	C	business plan
1.2.4	VAT that a business collects from customers on sales	D	cost price
1.2.5	The journal used to record returns of stock by customers	E	output VAT
1.2.6	An example of a business expense	F	payee
1.2.7	The person to whom a cheque is made out	G	creditors journal
1.2.8	A business that is registered to pay Value Added Tax	H	gross profit
1.2.9	The journal used to record credit purchases of stock	I	debtors allowances journal
1.2.10	The price that a retailer pays for an item	J	input VAT
		K	vendor
		L	net profit
		M	selling price

(10 × 1) (10)
[25]

QUESTION 2

2.1 Indicate whether the following statements are TRUE or FALSE. Write only 'True' or 'False' next to the question number (2.1.1–2.1.10).

2.1.1 Liabilities are the debts of a business.

2.1.2 When a business' income is more than its expenses, it has made a profit.

2.1.3 The point of sale is where customers pay for their purchases in a business.

2.1.4 The owner of a business can throw away his deposit slips after he deposits money into the business' bank account.

2.1.5 Wages is an example of a business income.

Copyright reserved

2.1.6 The petty cash journal is used to enter big cash payment transactions, for example payment of the business' wages.

2.1.7 Turnover is another term for the sales of a business.

2.1.8 Cash sales are recorded in the cash receipts journal.

2.1.9 The source document for the petty cash journal is a duplicate receipt.

2.1.10 A decrease in sales will result in a positive effect on business profits.

(10 × 1) (10)

2.2 Complete the following sentences by choosing the correct word(s) in brackets. Write only the word(s) next to the question number (2.2.1 – 2.2.15).

2.2.1 The interest on a loan will (increase/decrease) business profits.

2.2.2 A cheque becomes (valid/stale) when it is more than six months old.

2.2.3 Documents must be issued and stored (numerically/alphabetically).

2.2.4 To encourage debtors to pay their accounts, businesses offer (early payment/credit) terms which offers debtors a discount if they pay within a specific period.

2.2.5 (Input/Output) VAT is paid to suppliers on stock purchases.

2.2.6 Bank charges are recorded in the (cash receipts/cash payments) journal.

2.2.7 An advantage of the (manual/computerized) system is that it is not expensive.

2.2.8 Paraffin is a/an (exempt/standard) rated item for VAT.

2.2.9 (Gross/Net) profit is the final profit after deducting all expenses.

2.2.10 (Debtors/Creditors) are individuals that owe a business money.

2.2.11 When a business restores the imprest amount for petty cash, the bank account (increases/decreases).

2.2.12 Transactions are recorded from (source/cash) documents.

2.2.13 (Liabilities/Assets) are the possessions of a business.

2.2.14 Physical (stock-take/stock-check) is conducted when all stock in a business is physically counted at the end of the financial year.

2.2.15 A business completes a receipt in (duplicate/triplicate).

(15 × 1) (15)

[25]

TOTAL SECTION A: 50

Copyright reserved

SECTION B

QUESTION 3

3.1 Study the following extract from the bank statement of The College Shop and answer the questions that follow:

Date	Details	Amount
01/09/18	Opening balance	R11 400 (CR)
03/09/18	Cash deposit	R 2 750
15/09/18	Insurance (Sanlam)	R 470
15/09/18	Telkom (Telephone)	R 360
30/09/18	Rent deposited by tenant	R 1 800
30/09/18	Tax levy	R 72
30/09/18	Cheque book fee	R 108
30/09/18	Interest	R 156 (CR)

3.1.1 Is the opening balance favourable or unfavourable? Give ONE reason for your answer. (2)

3.1.2 Will the cash deposit (on 03/09/18) increase or decrease the bank balance? (1)

3.1.3 Calculate the total bank charges **and** clearly indicate which items form part of the bank charges. (4)

3.1.4 Is the interest (on 30/09/18) an income or an expense for the business? Give ONE reason for your answer. (2)

3.2 Refer to the bank statement in QUESTION 3.1 above. Indicate whether the following transactions will increase or decrease the bank balance of the business. Write only the word 'increase' or 'decrease' next to the question number (3.2.1 – 3.2.4).

3.2.1 Interest

3.2.2 Insurance (Sanlam)

3.2.3 Telkom (Telephone)

3.2.4 Rent deposited by tenant

(4 × 1) (4)

NCV

3.3 Study the balance sheet below and answer the questions that follow:

BALANCE SHEET OF TVET TRADERS AS AT 31 DECEMBER 2017

	Notes	R	R
ASSETS			
NON CURRENT ASSETS			380 000
Land and buildings		200 000	
Vehicles		100 000	
Equipment		60 000	
Fixed deposit: Netbank (12.5% p.a)		20 000	
CURRENT ASSETS			75 000
Inventory		17 000	
Trade and other debtors		33 000	
Cash and cash equivalents	1	25 000	
TOTAL ASSETS			????
EQUITY AND LIABILITIES			
OWNERS EQUITY			395 000
Capital	2	395 000	
NON CURRENT LIABILITIES			50 000
Loan: Asba Bank (8% p.a)		50 000	
CURRENT LIABILITIES			10 000
Trade and other creditors		10 000	
TOTAL EQUITY AND LIABULITIES			455 000

Notes:

1. Owner's equity:

Capital	R 400 000
Plus: Net profit	R 28 000
Less: Drawings	(**???**)
	R 395 000

2. Cash and cash equivalents:

Bank	R20 000
Petty cash	R 500
Cash float	R 4 500
	R25 000

3.3.1 Calculate the value of the total assets. (2)

3.3.2 Briefly explain what *'8% p.a.'* means with regard to the loan from ASBA bank. (3)

3.3.3 How much money was set aside to be given as change to customers? (1)

3.3.4 Calculate the business' working capital. Show all your workings and clearly indicate the descriptions for each amount. (4)

Copyright reserved

3.3.5 Calculate the interest that the business will receive on the fixed deposit. The fixed deposit was made on 30 June 2017. Show ALL workings. (3)

3.3.6 Calculate the total liabilities. Show ALL calculations. (2)

3.3.7 Calculate the drawings for 2017. (3)

3.3.8 Indicate how much was set aside by the business for small expenses. (1)

3.3.9 Is the bank balance favourable or unfavourable? Give (2)

3.4 Briefly outline TWO reasons why a business should have a bank account. (4)

3.5 Give TWO guidelines on how a business can manage assets. (2)
[40]

QUESTION 4

4.1 Sugar Traders is a registered VAT vendor. The business provided you with the following information for July 2017:

Total purchases of trading stock	R325 000 VAT exclusive
Total sales of trading stock	R548 500 VAT inclusive

Required:

Calculate the following. Show all your workings and where applicable, round off your answers to the nearest whole. Use a VAT rate of 15%:

4.1.1 Input VAT (2)

4.1.2 Output VAT (3)

4.1.3 VAT that is refundable by or payable to SARS. Indicate clearly whether the VAT is repayable or refundable. (4)

4.2 Steel and Strong Cabinets sells steel cabinets for office use. They buy the cabinets for R200 each and use a 50% markup on the cost price.

Calculate the selling price per cabinet. (2)

Copyright reserved

4.3 Study the cash register slip below and answer the questions that follow:

CHECKERS **TAX INVOICE** **VAT no.:7896 5412 1000** **Tel no: 011 200 4569** **Fax no.: 011 2004568** **Date: 30 June 2018**		
Jacobs coffee 750g	109	99
Apples 1 kg	24	99 *
Oranges/bag	35	00*
2ℓ Coca-Cola	14	99
Selati sugar 2,5 kg	36	99
Brown bread	12	99*
Sub-total	234	95
VAT 15%	**4.3.1**	
6 Items: TOTAL due	**4.3.2**	
Tendered	300	00
Change	42	37

4.3.1 Calculate the VAT. (4)

4.3.2 Calculate the total due. (2)

4.3.3 Identify ONE zero-rated product from the till slip. (1)

4.3.4 Is CHECKERS registered as a VAT vendor? Give ONE reason for your answer. (2)
[20]

QUESTION 5

5.1 Mr. A Nell bought goods from Makro on 30 June 2018 for R5 400 and paid by cheque.

Complete the cheque for this transaction using ANSWERSHEET A (attached). (5)

5.2 Can a business cash a crossed cheque at the bank? Give one reason for your answer. (2)

5.3 On 01 February 2018, Dudu Khoza was appointed as the petty cashier of Sindy Traders. The business started off with R1 000 in the petty cash box.

The total petty payments for the month amounted to R986. Help Dudu to complete the petty cash account in the general ledger on 28 February 2018. Use the ANSWER SHEET B (attached) to answer this question. (5)

Copyright reserved

5.4 State any THREE reasons why it is important for businesses to safely store their documents. (3)

5.5 Study the receipt below and answer the questions.

OFFICE SUPPLIERS



RECEIPT

No: 007

Date: 31 January 2018

Received from: Thandile Traders

Amount: Seven hundred and eighty rand

R780,00

For: Stationery

With thanks: *BP Madonsela*

5.5.1 Indicate which business:

(a) Received the money (2)

(b) Paid the money (2)

5.5.2 Which account will increase when this transaction is recorded in the general ledger of Office Suppliers? (1)

[20]

NCV

QUESTION 6

6.1 Study the following extract from the records of TVET Traders and answer the questions.

	2017	2018
Sales	884 000	996 000
Gross profit	376 000	411 000
Other incomes	70 000	76 000
Expenses		
Insurance	72 000	72 500
Rent paid	166 000	167 000
Wages	100 000	144 500

6.1.1 Calculate the expenses for:

(a) 2017
(b) 2018 (6)

6.1.2 Calculate the net profit for

(a) 2017
(b) 2018 (6)

6.1.3 State TWO in which TVET Traders can reduce its expenses. (4)

6.2 Briefly explain TWO ways in which TVET Traders can reduce shrinkage. (4)
[20]

TOTAL SECTION B: 100
GRAND TOTAL: 150

Copyright reserved

ANSWER SHEET A **STUDENT NUMBER:**

CENTRE NUMBER: - 9 9 9 9 -

5.1

ABSA BANK 20-363-025
107 Rissik Street
JOHANNESBURG
2000

Date: _____

Pay/Betaal:

_____

the sum of
die bedrag van: R

_____

_____

_____

*250055*20-363-025*031038832*

(5)

NCV

ANSWER SHEET B **STUDENT NUMBER:**

CENTRE NUMBER: - 9 9 9 9 -

5.3 **Petty Cash**

(5)

NCM

Copyright reserved